

SAMPLE DOCUMENT

AUDIT REPORT

Management Audit

Management Structure & Governance Assessment

Luxe Aesthetics Clinic (fictional network) • Parramatta, NSW — 3 clinics

Audit conducted 24–25 June 2026 • Report issued 27 June 2026 • Ref: MA-2026-MG-0088

Client (fictional)	Luxe Aesthetics Clinic (fictional network)
Location	Parramatta, NSW — 3 clinic locations
Audit type	Management Audit
Audit conducted	24–25 June 2026
Report issued	27 June 2026 (48-hour turnaround)
Lead auditor	D. Lindqvist, Principal Consultant — Maintain Audits
Report reference	MA-2026-MG-0088
Distribution	Franchisor head office; franchisee principal — Commercial in confidence

SAMPLE DOCUMENT — all client details and findings are fictional, prepared to demonstrate Maintain Audits' reporting format.

SECTION 1 | EXECUTIVE SUMMARY

This management audit assessed the Luxe Aesthetics Parramatta franchise across three clinic locations over two days, examining governance, financial management, operational leadership, and strategic planning. The network target is 80%; the franchise scored 68%, earning a High rating.

The three findings that matter most: there is no effective management layer between the franchisee and clinic staff — the franchisee is operationally indispensable in a way that creates fragility. Business finances across the three clinics are commingled without adequate separation, creating compliance risk. And there is no current cash-flow visibility — the franchisee cannot currently tell us, to any reasonable precision, what each clinic's forward position looks like.

The Parramatta flagship is performing well by every customer measure. Staff retention is strong. The business has real momentum. These findings are about building the management infrastructure to make that momentum sustainable — and protecting the franchise from risks that are entirely avoidable at this scale.

Overall Result

Measure	Result
Overall compliance score	68% (target ≥ 80%)
Overall rating	High
Findings raised	6
Most urgent action due	Financial separation — MG-02 (interim step within 7 days)

Findings by Risk Rating

Rating	Count
High	3
Medium	2
Observation	1

SECTION 2 | SCOPE & METHODOLOGY

A management and governance audit covering the structural, financial, and operational disciplines required to operate a multi-site franchise successfully and in accordance with the franchise agreement.

In Scope

- Management structure and decision-making — governance, delegation, reporting lines
- Financial management — accounts, cash flow, separation of entity finances
- Performance visibility — KPIs, reporting cadence, benchmarking against network
- Operational leadership — how the sites are managed day-to-day in the franchisee's absence
- People management — staff structure, key-person risk, succession depth
- Strategic planning — growth pipeline and its governance

How the Audit Was Conducted

- Two-day on-site audit across the Parramatta, Westmead, and Norwest clinic locations
- Interviews with the franchisee, clinic managers (where applicable), and two senior therapists
- Review of financial statements (FY2025), BAS lodgements, and P&L for each location
- Benchmarking against network management standard v3 and the franchise agreement

Risk Rating Scale

Rating	Meaning	Action required
Critical	Immediate threat to safety, legal compliance, or brand integrity.	Within 48 hours
High	Material non-compliance likely to cause customer, safety, or financial impact.	Within 7 days
Medium	Non-compliance with franchise standards; manageable if addressed promptly.	Within 30 days
Low	Minor deviation or housekeeping issue.	Within 90 days
Observation	Not a non-compliance; an improvement opportunity worth acting on.	At next review

SECTION 3 | FINDINGS SUMMARY

ID	Area	Finding	Rating
MG-01	Management structure	No effective management layer — franchisee is the single operational point of failure	High
MG-02	Financial management	Three clinic finances commingled — no entity separation	High
MG-03	Financial management	No forward cash-flow visibility across any of the three locations	High
MG-04	Performance reporting	No KPIs tracked or reported against at clinic level	Medium
MG-05	People management	Key-person risk — two of three clinics have no manager capable of operating independently	Medium
MG-06	Strategic planning	Fourth-site ambition without governance framework	Observation

SECTION 4 | DETAILED FINDINGS
HIGH
MG-01 — No effective management layer — franchisee is the single operational point of failure

Rating	Area	Standard / reference	Remediate by
High	Management structure	Franchise Agreement cl. 8.2; Network Mgmt Standard s.2	Within 7 days

What we found: Across all three clinics, day-to-day operational decisions — rosters, supplier issues, client escalations, HR matters — route directly to the franchisee. Neither Westmead nor Norwest has a clinic manager with delegated authority. If the franchisee is unavailable for any extended period, there is no clear decision-maker at either site.

Evidence: Role and responsibility review; interviews with clinic staff; org-chart mapping exercise with franchisee.

Recommended action: Designate a clinic manager with documented decision authority at each location within 30 days. In the interim, establish a written delegation framework so key decisions can proceed in the franchisee's absence. This does not require a new hire — both sites have senior therapists capable of stepping into this role with appropriate authority.

Responsible: Franchisee

HIGH
MG-02 — Three clinic finances commingled — no entity separation

Rating	Area	Standard / reference	Remediate by
High	Financial management	Franchise Agreement cl. 14.1; Corporations Act	Interim: within 7 days / Full: within 60 days

What we found: All three clinic operations run through a single operating entity, with no separation of revenue or costs by location. The franchise agreement requires each site to operate with clear financial separation. Beyond the compliance issue, commingling makes it impossible to assess each clinic's true profitability — or identify whether a problem is site-specific or network-wide.

Evidence: Bank statement review; P&L analysis; franchise agreement review.

Recommended action: As an interim step within 7 days, implement separate bank accounts and cost-centre coding for each location. Full entity separation (which the franchisee's accountant should advise on) should be completed within 60 days. This is not optional — it is a franchise agreement obligation.

Responsible: Franchisee / accountant

HIGH
MG-03 — No forward cash-flow visibility across any of the three locations

Rating	Area	Standard / reference	Remediate by
High	Financial management	Network Mgmt Standard s.4.2	Within 30 days

What we found: The franchisee does not currently maintain a rolling cash-flow forecast for any of the three clinics. Financial decisions — including a recent fit-out spend at Norwest — are being made without a forward view. Given the growth phase and multi-site complexity, this is a material risk.

Evidence: Financial records review; interview with franchisee.

Recommended action: Implement a 13-week rolling cash-flow forecast for each location, reviewed weekly. The network's finance template (available on the franchise portal) is suitable for this purpose and requires approximately two hours of setup.

Responsible: Franchisee / accountant

MEDIUM
MG-04 — No KPIs tracked or reported against at clinic level

Rating	Area	Standard / reference	Remediate by
Medium	Performance reporting	Network Mgmt Standard s.5	Within 30 days

What we found: No clinic-level KPIs are currently tracked against the network benchmark set. The franchisee has strong instinctive operational awareness — but decisions that should be data-driven (treatment utilisation, rebooking rates, retail attach) are currently being made from memory and feel.

Evidence: Reporting review; interview with franchisee.

Recommended action: Implement the network's 8-metric KPI dashboard (available in the franchise portal) at each clinic. Monthly review with clinic manager; quarterly review against network benchmarks. The booking system already captures most of the relevant data.

Responsible: Franchisee

MEDIUM
MG-05 — Key-person risk — two of three clinics have no manager capable of operating independently

Rating	Area	Standard / reference	Remediate by
Medium	People management	Network Mgmt Standard s.3.1	Within 30 days

What we found: The Parramatta flagship has a capable senior therapist who could manage the location in an emergency. The Westmead and Norwest sites do not. The franchisee is the sole person with the operational knowledge, supplier relationships, and system access to keep those two sites running if they were absent.

Evidence: Staffing interviews; system access review.

Recommended action: In conjunction with MG-01, document clinic operating procedures, ensure at least one person per site has full system access and supplier contact details, and provide cross-training where the franchisee currently holds sole knowledge.

Responsible: Franchisee

OBSERVATION
MG-06 — Fourth-site ambition without governance framework

Rating	Area	Standard / reference	Remediate by
Observation	Strategic planning	Network Mgmt Standard s.6	At next review

What we found: The franchisee has identified a fourth location opportunity and has been in preliminary discussions with a landlord. This is not a compliance issue — growth is encouraged. But expanding before MG-01 to MG-05 are closed would compound the existing structural risks rather than resolve them.

Evidence: Strategic discussion with franchisee.

Recommended action: Address the current findings first, then revisit the fourth-site opportunity with the support of a business case using the network's growth-readiness framework. The franchisee's instincts on the opportunity may well be right — the governance needs to catch up first.

Responsible: Franchisee

SECTION 5 | WHAT'S WORKING WELL

An audit should recognise strength as clearly as it flags risk. The following practices met or exceeded the network standard:

- The Parramatta flagship is a genuinely strong operation — client satisfaction scores of 4.8–4.9 across platforms
- Staff retention is well above network average — the team is stable and clearly engaged
- BAS compliance is clean and current across all three entities
- The franchisee's client relationships and reputation in the local market are a significant asset

SECTION 6 | REMEDIATION ROADMAP

Actions are sequenced by risk. Maintain Audits can verify closure of each item through a follow-up desktop review or re-inspection.

ID	Action	Owner	Due
MG-01	Establish documented delegation framework; designate clinic manager per site	Franchisee	Within 7 days (interim) / 30 days (full)
MG-02	Separate bank accounts and cost-centre coding per clinic; full entity separation	Franchisee / accountant	Within 7 days (interim) / 60 days (full)
MG-03	Implement 13-week rolling cash-flow forecast for each location	Franchisee / accountant	Within 30 days
MG-04	Deploy network KPI dashboard at each clinic; monthly review cadence	Franchisee	Within 30 days
MG-05	Document operating procedures; cross-train; expand system access	Franchisee	Within 30 days
MG-06	Fourth-site decision deferred pending closure of MG-01 to MG-05	Franchisee	At next review

SECTION 7 | NEXT STEPS & ONGOING MONITORING

- MG-01 and MG-02 interim steps to be confirmed within 7 days — desktop review at no charge
- Recommend a management check-in at 60 days to verify MG-02 full separation and MG-03 cash-flow implementation
- Full re-score at the 6-month mark to assess management maturity against the network standard

Questions about this report: info@maintinaudits.com.au • +61 414 530 836 • maintinaudits.com.au

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